

KOZMO

Invoice Alpha

Managing Commercial Value from Commitment to Cash

The economics of designing, amending and managing the terms, commitments and future invoices that drive commercial value across \$40M-\$50M monthly portfolios.

A KOZMO WHITE PAPER

September 2026 | Version 1.2

EXECUTIVE THESIS

The highest-value invoice intervention may occur when the terms that create the invoice are designed or renegotiated.

At \$45 million of monthly invoice volume, small changes in pricing, scope, usage, delivery, renewals, discounts, acceptance, payment timing and collections become material. Kozmo therefore treats contracts, SOWs and POs as economic control surfaces that shape future invoices - both when terms are first negotiated and when existing commitments can be amended.

\$540M annual invoice surface	\$54K value of 1 basis point	\$1.48M cash represented by 1 day
\$135M 25% interventionable surface	\$1.35M 1% of that surface	\$4.44M cash represented by 3 days

The updated Kozmo proposition

Every material commercial commitment establishes a governed economic position. Kozmo manages the terms that create it, detects opportunities to amend or renew it, shapes delivery or usage, anticipates the expected invoice, previews readiness, manages settlement and learns from realized economics - seeking alpha while the outcome is still changeable.

What changes in Version 1.2

- **Terms Alpha** makes advantageous buy-side and sell-side contract, SOW and PO terms an explicit source of future invoice economics.
- **Amendment Alpha** continuously re-opens active commitments when services risk, usage, repeated disputes, automatic renewals, PO conditions or market changes create a renegotiation opportunity.
- **Future Invoice Positions and Formation Alpha** manage scope, usage, delivery, discounts and legitimate commercialization before the invoice is fixed.
- **Invoice Preview and Acceptance Readiness** make invoicing a prepared confirmation event; Commercial Alpha keeps Terms, Amendment, Formation, Settlement and Structural value distinct.

RESEARCH CONTEXT

01 Why invoice economics deserves a management system

Finance benchmarks still frame invoice operations primarily around cost, error-free processing, cycle time, DSO, DPO and delinquency. APQC, for example, benchmarks the cost and cycle time of accounts payable and customer invoicing; its open measure for receipt-to-payment reports a 15-day cross-industry median across 2,226 companies.^[3]

Working-capital research shows why these operational measures matter economically. The Hackett Group’s 2025 U.S. Working Capital Survey estimated \$1.7 trillion of excess working capital across the 1,000 largest U.S. nonfinancial public companies, with receivables accounting for \$600 billion and an 18-day DSO gap between median and top performers.^[1]

Its July 2026 AI World Class Finance modeling makes a second point: the larger benefits come from redesigning end-to-end finance processes, not simply automating existing work. In order-to-cash, the modeled future state includes roughly half as many invoice corrections, 43% faster dispute resolution and 85% fewer delinquent days.^[2]

The expanded management question

The management question is not only whether an invoice moved efficiently or settled correctly. It is whether the enterprise negotiated and continuously improved the commercial terms, scope and authorization mechanisms that determine what future invoices can become.

Layer	Typical question	Primary measures
Transaction efficiency	How efficiently did the invoice move?	touches, cost/invoice, cycle time, automation
Working-capital efficiency	How quickly did cash move?	DSO, DPO, delinquency, aging, cash conversion
Invoice economics	Was the invoice correct and settled well?	leakage, realization, credits, timing economics
Commercial formation	Did we shape the value before invoicing?	scope, usage, discounts, expansion, readiness, Formation Alpha
Terms & amendment economics	Did governing terms and later changes improve future invoice economics?	pricing, renewals, acceptance, payment, PO controls, Terms / Amendment Alpha

ILLUSTRATIVE MODEL

02 The \$45M-per-month economic surface

Illustrative enterprise

Assume an upper-mid-market organization manages \$45M of supplier invoices per month and also issues approximately \$45M of customer invoices per month. The model is intended to make scale visible, not to promise specific savings.

Basis points become real money quickly

Improvement	Annual value	Equivalent
1 bp	\$54K	0.01% of annual surface
5 bp	\$270K	0.05% of annual surface
10 bp	\$540K	0.10% of annual surface
25 bp	\$1.35M	0.25% of annual surface
50 bp	\$2.70M	0.50% of annual surface
100 bp	\$5.40M	1.00% of annual surface

The forward economic surface can be larger than the current invoice queue

At any point in time, the organization may have months of committed and forecast activity represented by contracts, POs, SOWs, subscriptions, usage, project plans and renewal obligations. Kozmo can therefore manage not only the \$45M arriving this month, but the future commercial value already forming.

Illustrative forward surface	Amount	If improved by 1%
25% of annual invoice surface	\$135M	\$1.35M
40% of annual invoice surface	\$216M	\$2.16M
60% of annual invoice surface	\$324M	\$3.24M

Formation Alpha can be meaningful even when only part of the portfolio is interventionable

The denominator must be explicit: total invoice surface and qualified interventionable surface should both be reported.

ECONOMIC LIFECYCLE

03 From commercial commitment to settlement

The core architectural change is to move the managed object upstream to the governing commercial terms. An invoice is a visible settlement artifact generated by terms, commitments, amendments, delivery or usage, and the operational choices made under them.

Lifecycle state	Management question	Typical evidence
Terms / Commitment Position	What economics have been negotiated and authorized?	contract, PO, SOW, quote, pricing, payment, renewal, acceptance and change terms
Amendment / Renewal Position	Should an active commitment be changed before more value forms?	renewal windows, usage, services risk, disputes, rate movement, PO capacity, performance
Delivery / Usage Position	What has actually been consumed or delivered?	milestones, time, usage, shipments, acceptance, resources
Future Invoice Position	What is likely to become payable or billable?	trajectory, commitments, usage, change requests, credits
Expected Invoice	What should the invoice be if issued today?	rates, quantities, scope, usage, credits, evidence
Invoice Preview	Is the invoice ready to issue or receive cleanly?	PO capacity, acceptance, support, dispute indicators
Invoice Position	How does actual compare with expected?	actual invoice, variance, entitlement, exceptions
Settlement Position	How and when should value convert to cash?	terms, discounts, collections, payment state
Outcome / Learning	What value was created and what changed?	verified economics, outcome evidence, playbook and term performance

Core principle

Manage the commercial position while the outcome is still changeable. The closer management waits until payment or collection, the smaller the remaining intervention surface usually becomes.

FUTURE SPEND

04 Buy-side Formation Alpha: manage spend before it becomes payable

Traditional invoice assurance asks whether a supplier invoice is correct. Kozmo should ask earlier: are the governing contract, SOW and PO terms economically advantageous, should they be amended, and should this amount ever become an invoice? That requires active management of commitment, scope, delivery, utilization, renewal and commercial terms.

Potential interventions

- Scope discipline - stop, defer, de-scope or redesign optional work before it is performed.
- Delivery economics - challenge resource mix, premium service levels, unused capacity, unnecessary quantities or inefficient milestones.
- Usage management - detect underused licenses, capacity, subscriptions or committed services before renewal or true-up.
- Commercial renegotiation - use volume, forward commitment, performance, market alternatives or timing to renegotiate rates and discounts.
- Change-control discipline - qualify change requests before work creates a de facto obligation.
- Entitlement capture - ensure credits, rebates, service-level remedies and volume tiers reduce the expected payable amount.

Illustrative Formation Alpha

Assume 25% of the \$540M annual buy-side surface - \$135M - is meaningfully interventionable before invoicing. If governed scope, utilization and commercial actions reduce the payable outcome by 1% of that qualified surface while preserving required business outcomes, the annual effect is \$1.35M, equivalent to 25 basis points of the total invoice surface.

Qualification rule

Buy-side Formation Alpha is not simply "spend avoided." It should be credited only when the required business outcome is preserved or the value trade-off is explicitly quantified. Cutting needed scope and calling the lower invoice "alpha" would be false economics.

REVENUE FORMATION

05 Sell-side Formation Alpha: capture legitimate value before it leaks

The sell-side mirror image is equally important. Kozmo should continuously ask whether customer terms, POs, renewals and amendments protect legitimate monetization and whether delivered work, usage and customer-requested expansion are being converted into valid commercial entitlement before the invoice is drafted.

- Usage capture - additional seats, storage, transactions, locations or consumption are detected and priced correctly.
- Scope qualification - customer-requested work outside the original scope becomes a documented change order rather than unbilled effort.
- Milestone commercialization - acceptance, evidence and billing triggers are prepared as work completes.
- Expense and pass-through realization - contractually reimbursable items are captured with the required support.
- Expansion conversion - qualified additional needs become an upsell, true-up or amended commitment before value is delivered for free.
- Commercial leakage prevention - concessions, free work and delayed billing are surfaced as explicit decisions rather than silent erosion.

Illustrative Formation Alpha

Assume 20% of the \$540M annual sell-side surface - \$108M - is usage-, scope- or expansion-sensitive. Capturing an additional 1% of legitimate billable value on that qualified surface produces \$1.08M of additional gross revenue, equivalent to 20 basis points of the total billing surface.

Revenue is not margin

\$1.08M of additional legitimate billing should be reported as gross revenue realization. Contribution-margin alpha should be reported separately after incremental delivery costs, commissions, support obligations and other variable economics are considered.

FORWARD OBJECT

06 The Future Invoice Position and Expected Invoice

Kozmo should maintain a forward-looking position for every material commercial arrangement, including its governing terms, amendment and renewal opportunities. The system continuously compiles what it expects to become payable or billable, what can still be renegotiated, and why.

Field	Buy-side interpretation	Sell-side interpretation
Committed value	authorized contract / PO ceiling	customer commitment / order value
Delivered / consumed	supplier work or goods received	work, usage or product delivered
Supported amount	amount currently justified by evidence	amount currently billable by evidence
Qualified upside / reduction	avoidable future spend, credits, discounts	additional authorized usage, scope or expansion
Expected invoice	what supplier should invoice if billed today	what company should invoice if billed today
Likely range	uncertainty band around expected payable	uncertainty band around expected billing
Amount at risk	likely overrun, unsupported scope or leakage	unbilled value, disputed amount, missing entitlement
Next commercial action	de-scope, renegotiate, request credit, hold	change order, true-up, acceptance, evidence, invoice

Why this matters

When the actual invoice arrives or the draft invoice is created, Kozmo already has an independently constructed expectation. Invoice assurance becomes variance confirmation rather than first-time discovery.

PRE-SETTLEMENT ASSURANCE

07 Invoice Preview and Acceptance Readiness

An invoice should be prepared as a commercial event, not merely generated by a billing schedule. The Preview evaluates whether the amount is supportable, whether the receiving party is prepared, and whether known issues should be resolved before issuance or payment.

Sell-side Invoice Readiness

Readiness dimension	Example check
Contractual readiness	pricing, terms, entity and tax treatment validated
Scope readiness	work clearly within contract or signed change order
Delivery readiness	milestone, service or usage evidence complete
PO readiness	customer PO exists and has sufficient remaining capacity
Acceptance readiness	required customer acceptance or sign-off exists
Evidence readiness	supporting time, expenses, deliverables and usage attached
Dispute readiness	known objections resolved or explicitly prepared
Billing readiness	invoice format, portal, legal entity and routing requirements satisfied

Buy-side Incoming Invoice Preview

Kozmo can similarly predict what should arrive from a supplier: expected amount and range, due date, likely credit, discount economics, known disputed scope and recommended payable amount. The accounts-payable workflow can begin before the invoice is received.

Prepared confirmation event

A high-readiness invoice should require less discovery, fewer corrections and fewer preventable disputes. Acceptance Readiness can become a leading indicator for downstream DSO and collection friction.

PAYABLES

08 Buy-side Settlement Alpha: pay exactly what is owed, economically

Formation Alpha does not eliminate invoice-level management. Once the invoice exists, Kozmo still manages correctness, credits, discounts, timing, disputes and payment decisions.

- Commercial correctness - rates, quantities, milestones, fees and escalations match governing terms.
- Expected-vs-actual variance - deviations from the precomputed Expected Invoice receive targeted review.
- Credits and entitlements - missing credits, rebates and remedies are captured before payment.
- Payment timing - cash is not released earlier than economically appropriate while avoiding commercial harm.
- Discount arbitrage - payment discounts are compared with capital cost and strategic alternatives.
- Structural feedback - recurring variances update contracts, PO controls, supplier terms and future playbooks.

Settlement bucket	Illustrative improvement	Annual economic effect
Commercial correctness	15 bp	\$810K hard-dollar alpha
Credits / rebates / entitlements	10 bp	\$540K hard-dollar alpha
Net discount / terms optimization	5 bp	\$270K hard-dollar alpha
Economically safe payment timing	+3 days	\$4.44M liquidity; ~\$444K annual capital benefit @ 10%

RECEIVABLES

09 Sell-side Settlement Alpha: turn a prepared invoice into cash

The sell-side settlement objective is to convert legitimately earned value into cash with minimal friction. Preview and Formation Alpha should reduce preventable disputes, but collections, concessions and timing still require active management.

- Expected-vs-draft comparison catches omitted work, usage, expenses and pricing before issuance.
- Dispute prevention resolves acceptance, PO, evidence or amount issues before aging begins.
- Collections prioritization allocates effort by economic value, likelihood of recovery and relationship state.
- Concession discipline separates deliberate commercial decisions from administrative write-downs.
- Payment-plan and escalation decisions balance cash recovery, relationship economics and risk.
- Outcome history teaches which invoice archetypes, customers and interventions convert most reliably.

Settlement bucket	Illustrative improvement	Annual economic effect
Billing completeness / accuracy	10 bp	\$540K hard-dollar alpha
Preventable disputes / credits	8 bp	\$432K hard-dollar alpha
Leakage / write-off prevention	7 bp	\$378K hard-dollar alpha
Effective collection timing	-3 DSO days	\$4.44M liquidity; ~\$444K annual capital benefit @ 10%

TERMS & AMENDMENT ALPHA

10 Design and renegotiate the economics that create future invoices

Invoice economics are substantially determined by the governing commercial instrument before delivery begins. Kozmo should therefore treat contracts, SOWs and POs as active economic control surfaces - on both the buy side and the sell side - rather than static documents that become relevant only when a dispute occurs.

Terms Alpha principle

A favorable term is economically valuable only when it changes expected future invoice, cash-flow or risk outcomes. Kozmo should estimate the value at negotiation, then verify realization as delivery and invoices occur.

Two-sided term economics

Economic lever	Buy-side emphasis	Sell-side emphasis
Price / rate mechanics	lower rates; volume tiers; benchmark rights; escalation caps; rebates	price floors; annual uplifts; usage pricing; minimum commitments
Scope / change control	not-to-exceed caps; strict authorization; expense/pass-through limits	clear out-of-scope charging; change orders; premium / expedited work economics
Acceptance / billing trigger	pay after defined acceptance; milestone evidence; retainage where justified	deemed / objective acceptance; milestone or advance billing; clear billing triggers
Payment / cash terms	longer economically appropriate terms; selective early-pay discounts	shorter terms; deposits / prepay; late-payment and suspension protections
Usage / quantity flexibility	rightsizing, reduction and termination rights; true-down protection	usage true-ups; expansion pricing; minimum volume / seat / location commitments
Renewal mechanics	notice control; opt-out; repricing rights; avoid silent automatic spend	renewal uplift; expansion capture; continuity terms where commercially appropriate
Evidence / invoice rules	detailed invoice support; audit / credit rights; PO compliance	clear evidence standards; customer PO / portal readiness; bounded dispute windows

Economic symmetry, not identical behavior

Kozmo should optimize each side for the enterprise’s legitimate commercial objective. The buy-side bias is toward lower total cost, controlled commitment and optionality. The sell-side bias is toward complete monetization, strong entitlement and reliable cash conversion. Relationship value, risk and long-term economics constrain both.

Amend active contracts, SOWs and POs when economics change

Signature should not freeze commercial design for the life of a relationship. Existing commitments should be re-evaluated when operating evidence shows that future invoices are likely to be economically inferior to what could now be negotiated. Amendment Alpha is the verified value created by changing an active contract, SOW, PO or renewal path before subsequent invoices are formed.

Trigger	Buy-side intervention	Sell-side intervention
High-risk / T&M services	cap burn; reprice resource mix; tighten milestones, expenses and change control	formalize change orders; minimum fees; rate / role clarity; milestone acceptance
Automatic renewal window	reassess need, usage and market price; resize, renegotiate or exit	protect renewal; apply justified uplift; convert usage / expansion into renewed commitment
PO too broad or underused	reduce, close, phase or reissue PO with tighter scope / quantity controls	request PO increase or replacement before additional authorized work is delivered
Repeated invoice disputes	amend ambiguous pricing, evidence, acceptance or billing provisions	clarify entitlement, acceptance, dispute window and billing mechanics
Usage deviates from assumption	true-down, re-tier, consolidate or renegotiate commitment	true-up, expand, amend quantity / seats / locations or establish minimums
Rate / market movement	invoke benchmark, rebate, cap or renegotiation leverage	enforce escalation, reprice under-valued services or exchange concessions for commitment
Performance / risk change	add credits, service remedies, retainage, termination or tighter controls	repair acceptance criteria, obligations and customer dependencies that delay billing

POs are part of the same economic architecture

A PO can be the operative authorization layer between the contract and the invoice. Kozmo should maintain a PO Economic Position: authorized amount and quantity, remaining capacity, scope, rates, expiry, release cadence, invoice prerequisites, renewal behavior and expected future invoice trajectory. Buy-side actions can reduce or close unnecessary authority; sell-side actions can secure additional PO authority before valid work becomes difficult to invoice.

Automatic renewals are future invoice generators

On the buy side, an automatic renewal should be treated as a pending future spend decision, with action triggered well before the notice deadline. On the sell side, renewal should be treated as a monetization and continuity event: usage, value delivered, expansion, pricing and payment behavior should inform the renewal package. The same mechanism runs in opposite economic directions.

Terms-to-invoice realization loop

Negotiate / Amend Terms → Update Commitment Position → Recompute Future Invoice → Observe Delivery / Usage → Compare Actual Invoice → Measure Realized Term or Amendment Alpha → Learn which terms actually produce value.

ECONOMIC TAXONOMY

11 From Invoice Alpha to Commercial Alpha

The Commercial Alpha taxonomy now distinguishes value embedded in initial terms, value created by amendments and renewals, value shaped during performance, invoice-level settlement economics and broader structural redesign. This prevents multiple stages from claiming the same eventual outcome.

Alpha class	Where created	Examples
Terms Alpha	when the initial contract, SOW or PO is negotiated / issued	pricing, payment, renewal, acceptance, volume, usage, evidence and change terms
Amendment Alpha	after commitment but before future economics are fixed	contract / SOW amendment, PO modification, renewal renegotiation, re-tiering, repricing
Formation Alpha	while scope, delivery, usage and entitlement are forming	de-scope, usage optimization, entitlement capture, change-order / expansion commercialization
Settlement Alpha	during invoice validation and cash conversion	invoice correctness, credits, discounts, dispute resolution, payment timing, collections
Structural Alpha	by redesigning recurring commercial mechanisms beyond one commitment	pricing architecture, sourcing model, portfolio policies, standard terms, operating process redesign

Economic reporting dimensions remain separate

Value class	What it means	How reported
Hard-dollar alpha	verified savings or recovered/expanded legitimate revenue	earnings / cash P&L effect
Liquidity alpha	cash released or retained because timing improves	balance-sheet / working-capital effect
Capital alpha	annual economic carrying benefit of liquidity	liquidity x approved capital charge
Risk alpha	reduction in expected loss	expected value until realized/verified
Productivity alpha	reduced labor or processing cost	Opex only when capacity/cost is actually realized

Commercial Alpha = Terms Alpha + Amendment Alpha + Formation Alpha + Settlement Alpha + Structural Alpha

Prospective term value must be tracked separately from realized invoice value so the same economics are not counted at negotiation, amendment and settlement.

ATTRIBUTION RIGOR

12 The Alpha Ledger must distinguish prevention, capture and timing

Terms, amendments and upstream management create a larger attribution challenge than invoice correction because part of the value is prospective. Kozmo therefore needs explicit evidence standards from negotiated economic advantage through subsequent realization in future invoices and cash outcomes.

Claim type	Minimum proof	Common failure mode
Spend reduction	qualified baseline + intervention + preserved outcome / quantified trade-off	claiming cancelled value that was never likely to occur
Revenue capture	entitlement + evidence + incremental billing + contribution economics	calling unprofitable or unauthorized work "alpha"
Avoided overrun	forecast/counterfactual + intervention + observed trajectory change	confusing revised forecast with causal impact
Invoice correction	expected-vs-actual variance + validated correction	double-counting with Formation Alpha
Liquidity	verified change in payable/receivable timing	adding cash release directly to earnings
Structural improvement	before/after cohort evidence over repeated cycles	claiming one-off coincidence as recurring benefit

Verification principle

A smaller verified result is more valuable than a larger modeled opportunity. Kozmo should preserve modeled opportunity, expected value, attributed value and realized value as distinct states.

KOZMO MANAGED OBJECT

13 The managed object is the Commercial Position, not the invoice

The invoice is one lifecycle state inside a broader Commercial Position. The position persists across terms, commitment, amendment / renewal, delivery, expected invoice, actual invoice and settlement, so decisions can be made with temporal continuity.

Position dimension	What Kozmo knows / evaluates
Economic	committed value, expected value, optimized potential, leakage, credits, upside, exposure
Contractual	rates, terms, milestones, obligations, rights, changes, payment conditions
Delivery / usage	goods/services delivered, utilization, time, expenses, acceptance, SLA performance
Forward outlook	future invoice range, target, exposure, qualified upside, timing
Readiness	invoice support, acceptance, PO capacity, billing/portal requirements
Settlement	due date, preferred payment date, aging, discount and collection economics
Relationship	supplier/customer importance, prior behavior, sensitivity, escalation posture
Confidence	evidence completeness, ambiguity, model confidence, review requirements
Disposition	de-scope, negotiate, authorize, invoice, pay, hold, challenge, collect, escalate, do nothing

Temporal Position

Baseline → Current → Outlook → Target, with explicit Exposure and Upside. Future Invoice Positions are not predictions detached from management; they are forward states that can trigger interventions before they become actual invoices.

ARCHITECTURE

14 The operating loop begins before invoicing

The operating architecture remains compact, but its evidence and intervention horizon expands upstream into term design, PO authorization, amendment and renewal management.

1	2	3	4	5	6	7	8
Evidence	Position	Outlook	Evaluation	Disposition	Action	Outcome	Learning

Evidence and outlook

Contracts, POs, SOWs, quotes, orders, delivery records, time, usage, expenses, milestones, approvals, customer acceptance, invoices, payments, disputes, communications and prior outcomes are compiled into current and forward positions.

Evaluation and disposition

Rubrics and playbooks ask not only whether an invoice is correct, but whether future spend should be reduced, whether legitimate revenue should be commercialized, whether readiness is sufficient, and which settlement action is economically justified.

Action and learning

Bounded actions can include evidence requests, de-scoping, discount negotiation, change-order preparation, acceptance requests, invoice preparation, payment scheduling, collections and escalation. Outcomes update the Alpha Ledger and candidate playbook improvements.

Expanded core loop

Evidence → Position → Outlook → Evaluation → Disposition → Action → Outcome → Learning → Benchmark

MANAGEMENT CADENCE

15 Quarterly Alpha Management now includes the future commercial surface

The quarter should not begin with the invoice queue. It should begin with the terms, renewals, POs and economic surface likely to generate invoices during the next quarter, plus the intervention opportunities that can still change those economics.

Quarter step	Question	Output
1. Baseline	What is normal now?	spend/billings, commitments, terms, renewals, days, leakage, disputes, usage, credits, effort
2. Outlook	What is likely to become payable or billable?	Future Invoice Positions, ranges, renewal / amendment exposure, qualified upside
3. Diagnose	Where can economics still be changed?	terms, PO controls, amendments, scope, usage, discount, expansion, readiness, settlement
4. Select	Which interventions are justified?	priorities, renegotiation windows, thresholds, playbooks, authority levels, target alpha
5. Execute	What actions should occur?	term negotiations, amendments, PO changes, scope actions, change orders, previews, holds, collections
6. Verify	What changed because of intervention?	Terms / Amendment / Formation / Settlement / Structural Alpha Ledger
7. Learn & rebase	What becomes the new normal?	new baseline, term / playbook changes, next alpha frontier

Updated executive question

How much economic value did the commercial portfolio improve this quarter; which contracts, POs or renewals were made more advantageous; how much future value was prevented from leaking or captured before invoicing; and where is the next justified increment of alpha?

ONE-YEAR ECONOMICS

16 An illustrative integrated economic case

The following scenario separates upstream Formation Alpha from invoice-level Settlement Alpha and working-capital effects. Terms and Amendment Alpha should be added only where their realized effect is incremental to those buckets; the scenario remains illustrative, not a forecast.

Value source	Illustrative assumption	Annual effect
Buy-side Formation Alpha	1% improvement on \$135M qualified future-spend surface	\$1.35M
Buy-side Settlement Alpha	30 bp of \$540M invoice surface	\$1.62M
Sell-side Formation Alpha	1% additional legitimate capture on \$108M qualified surface	\$1.08M gross revenue
Sell-side Settlement Alpha	25 bp of \$540M invoice surface	\$1.35M
Buy-side timing	+3 economically safe payment days	\$4.44M liquidity / ~\$444K capital benefit
Sell-side timing	-3 DSO days	\$4.44M liquidity / ~\$444K capital benefit

\$5.40M illustrative hard-dollar / gross-revenue effect	\$8.88M combined working-capital release	\$888K annual capital benefit @ 10%
---	--	---

Interpretation

\$5.40M is not automatically \$5.40M of profit. Sell-side Formation Alpha is gross revenue until contribution margin is established, and buy-side Formation Alpha requires proof that required outcome/value was preserved. The \$8.88M liquidity release is separate from the ~\$888K annual capital benefit.

FOUR-QUARTER PROGRESSION

17 The alpha frontier should migrate upstream over time

Early quarters may find obvious invoice corrections and collection/payment timing. As those mature, the alpha frontier should migrate toward terms, amendments, renewals, PO controls, scope, usage, pricing and readiness that prevent inferior invoice economics from forming.

Quarter	Primary focus	Formation Alpha emphasis	Settlement emphasis
Q1	baseline + expected-invoice / term map	identify renewal, PO and term risks plus interventionable commitments	correctness, credits, aging, timing
Q2	preview + amendment plays	services amendments, scope, usage, change-order and discount plays	invoice variance and dispute prevention
Q3	cohort playbooks	segment-specific term, PO, spend and revenue formation	collections, payment optimization, term realization
Q4	structural redesign	standard terms, renewal architecture, pricing, contracting and utilization changes	exception-only settlement management
Next-year state	continuous forward management	alpha designed into terms and created before invoice formation	invoice increasingly becomes confirmation

Maturity signal

A successful program should reduce the share of value that must be recovered through late disputes or collections. More economics should be designed correctly upstream, with the invoice becoming a cleaner representation of an already-managed commercial position.

GOVERNED AGENTS

18 Bounded agents manage different stages of the commercial lifecycle

Agent / capability	Primary responsibility	Typical authority
Evidence agents	normalize contracts, POs, amendments, renewals, usage, delivery, acceptance, invoices and history	read / classify / reconcile
Terms agents	evaluate clause / term economics and compare buy-side or sell-side alternatives	recommend term package; no independent commitment authority
Forward-position agents	maintain Future Invoice Positions, ranges, exposure and qualified upside	forecast / compile; no commitment authority
Review agents	evaluate amendment triggers, scope, entitlement, readiness, correctness and settlement	recommend disposition; escalate ambiguity
Index agents	maintain portfolio cohorts, renewal windows, term signals, opportunity signals and benchmarks	portfolio analysis; no direct commercial action
Work agents	prepare approved negotiations, amendments, PO changes, requests, previews, collection or invoice steps	bounded actions within thresholds
Executive agents	manage program goals, alpha targets and portfolio trade-offs	recommend priorities; governance-gated decisions
Special-situation agents	investigate novel, high-value or low-confidence cases	research / scenarios; human approval for material action
Learning agents	compare realized term / amendment outcomes and propose playbook or standard-term changes	propose changes; no silent policy mutation

Autonomy rule

The system may become increasingly assertive about routine, well-bounded actions, but it should not silently commit spend, amend legal obligations, authorize scope, make customer concessions or invent entitlement. Material term, amendment and formation decisions remain authority-gated.

PROGRAM ARCHITECTURE

19 Programs make the lifecycle manageable

The expanded commercial surface is best decomposed into programs rather than a monolithic invoice agent. Terms & Amendment Alpha should operate as a first-class program alongside Formation, Readiness and Settlement programs, each with a mandate, population, position profile, strategy, capabilities, review cadence and alpha measure.

Program	Primary objective	Representative surface
Terms & Amendment Alpha	design and renegotiate favorable terms; intervene in active contracts, SOWs, POs and renewals	high-risk services, auto-renewals, pricing, acceptance, payment, usage, PO controls
Future Spend Optimization	reduce economically unnecessary future payable value	POs, SOWs, services, subscriptions, usage
Revenue Formation	maximize legitimate billable-value realization	T&M, usage, milestones, expansion, expenses
Invoice Readiness	prepare clean, supportable invoices and likely incoming invoices	expected invoices, acceptance, evidence, PO capacity
Invoice Assurance	validate actual invoices against commercial position	actual invoices, expected-vs-actual variance
Payables Alpha	optimize correctness, credits, discounts and payment timing	supplier invoice portfolio
Receivables Alpha	optimize realization, disputes, collections and DSO	customer invoice portfolio
Structural Alpha	improve recurring commercial mechanisms across cohorts	standard terms, pricing architecture, sourcing / sales policy, operating design

Program principle

Optimize the portfolio; improve the governing terms; amend commitments when evidence justifies it; govern the commercial position; intervene while the outcome is changeable; make the eventual invoice a prepared confirmation event.

DEPLOYMENT PATH

20 Implementation should start with an expected-invoice baseline

Phase	0-30 days	31-90 days	Quarter 2+
Evidence	connect invoice, ERP, contract/PO, renewal and billing/payment data	add amendments, usage, delivery, acceptance, disputes and communications	expand evidence to high-value cohorts and external / market signals
Position	compile historical invoice positions + open commitments / terms	launch Future Invoice, Expected Invoice and Amendment / Renewal positions	manage full terms-to-commitment-to-cash lifecycle
Programs	baseline one buy- or sell-side cohort	run Terms / Amendment + Formation + Readiness + Settlement plays	add structural alpha and specialized cohorts
Authority	recommendations / shadow mode	bounded preparation and low-risk execution	expand only after verified predictable outcomes and explicit legal / commercial controls
Economics	establish surface, counterfactual and ledger rules	verify first term realization, amendment, formation and settlement alpha	quarterly rebase; manage alpha frontier

A credible first 90 days

- **Select one interventionable commercial surface, such as professional-services contracts / POs, automatic-renewal suppliers, usage-based customer agreements or a high-dispute billing cohort.**
- Reconstruct what the Expected Invoice would have been historically and compare it with actual invoices and outcomes.
- **Identify active commitments where terms, renewal, PO authority, scope, usage, discounts or commercialization can still change the outcome.**
- Run Preview / Readiness before invoice issuance or expected receipt and measure whether exceptions fall.
- **Create an Alpha Ledger that distinguishes Terms, Amendment, Formation, Settlement, Structural, Liquidity and Capital Alpha, and traces prospective economics into realized invoices.**
- Automate only recurring low-risk actions after judgment quality and attribution are demonstrated.

COMMERCIAL JUSTIFICATION

21 The CFO business case expands beyond the invoice queue

The invoice queue is a measurable economic surface, but the terms and forward commitment surface can create additional value because interventions occur before economic outcomes harden. The business case should therefore report negotiated / amended prospective economics, realized term economics, settled invoice economics and qualified future economics under management.

Management surface	Illustrative denominator	Example 10 bp equivalent
Annual invoice surface	\$540M	\$540K
Qualified future-spend / revenue surface	\$135M	\$135K per 10 bp of qualified surface
Combined AP+AR timing surface	\$1.08B annual flow	~\$2.96M liquidity per net day across both sides

Commercial model options for Kozmo

- Platform fee - commercial operating system, forward positions, previews, governance and ledgers.
- Managed economic surface - pricing tied to commitments, expected invoices, invoices or portfolio value under management.
- Program fee - Terms & Amendment Alpha, Future Spend Optimization, Revenue Formation, Invoice Readiness, Payables Alpha and Receivables Alpha.
- Verified outcome component - optional participation in narrowly defined, auditable alpha with pre-agreed attribution rules.

The next 10 basis points still matters

The stronger question is now: where are the next 10 basis points across the lifecycle - before value forms, as the invoice is prepared, or when cash settles - and which stage offers the highest-confidence intervention?

STRATEGIC IMPLICATION

22 Invoices become the visible edge of a broader commercial operating system

Invoices remain an unusually attractive starting point because they combine high frequency, monetary consequence and observable settlement outcomes. But the expanded lifecycle shows that the durable object is the Commercial Position and that contracts, SOWs, POs, amendments and renewals are the governing instruments that shape what invoices can become.

Managed object / state	Economic question
Terms / Commitment	What economics have we negotiated and authorized?
Amendment / Renewal	What should be changed before the next economic period or invoice stream forms?
Delivery / Usage	What is actually being consumed or earned?
Future Invoice	What is likely to become payable or billable?
Expected Invoice	What should be payable or billable if invoiced today?
Invoice Preview	Is the commercial event prepared for clean acceptance?
Actual Invoice	Did actual economics match the managed expectation and negotiated terms?
Settlement	How should value convert to cash?
Commercial Relationship	What structural change would improve future economics?

The broader Kozmo thesis

Enterprises contain enormous numbers of recurring commercial decisions. The highest-value capability is not merely detecting invoice errors; it is designing favorable terms, reopening active commitments when evidence changes, and maintaining governed positions early enough to reshape future invoices and cash outcomes.

Conclusion

The goal is not to automate invoice processing. It is to continuously improve the economics of every commercial commitment - from initial term design and active amendment through delivery, invoicing and cash.

Every material contract, SOW and PO establishes a Commercial Position whose terms have measurable economic consequences.

Every position has a current state, an outlook, exposure, renewal / amendment opportunities and qualified upside.

Every future invoice should be anticipated before it is received or issued.

Every material invoice should be previewed for readiness and economic correctness.

Every intervention should produce an attributable outcome.

Every quarter should move the alpha frontier upstream - toward better terms, better amendments and better-formed future invoices.

APPENDIX

A Economic formulas and metric definitions

Measure	Formula / definition
Annual invoice surface	Monthly invoice value x 12
Basis-point value	Annual invoice surface x 0.0001
Qualified interventionable surface	portion of committed / forecast value where management can credibly change outcome
Terms Alpha	expected or realized economic advantage attributable to initial negotiated terms vs approved baseline / alternative; realized value tracked as invoices occur
Amendment Alpha	verified incremental economic advantage attributable to an amendment, PO modification or renewal renegotiation vs the pre-change position
Buy-side Formation Alpha	verified reduction in future payable economics vs qualified baseline / counterfactual, net of value trade-offs
Sell-side Formation Alpha	verified incremental legitimate revenue realization, with contribution margin reported separately
Settlement Alpha	verified invoice / cash economics improvement after invoice formation
Structural Alpha	verified recurring improvement attributable to portfolio-level commercial design changes not already credited as Terms or Amendment Alpha
Liquidity from AP timing	annual supplier invoice surface / 365 x economically safe days deferred
Liquidity from AR timing	annual customer invoice surface / 365 x DSO days reduced
Capital Alpha	verified liquidity release x approved annual capital charge
Normalized Alpha (bps)	verified hard-dollar alpha / relevant economic surface x 10,000
Alpha conversion	verified value / qualified modeled opportunity

Illustrative calculations used in this paper

Input	Assumption
Monthly buy-side invoice surface	\$45M
Annual buy-side invoice surface	\$540M
Monthly sell-side invoice surface	\$45M
Annual sell-side invoice surface	\$540M
Illustrative buy-side interventionable surface	25% / \$135M
Illustrative sell-side interventionable surface	20% / \$108M
Illustrative Formation Alpha rate	1% of qualified surface
Illustrative buy-side Settlement Alpha	30 bp
Illustrative sell-side Settlement Alpha	25 bp
Illustrative timing improvement	+3 AP days / -3 DSO days
Illustrative annual capital charge	10%

APPENDIX

B Illustrative Future Invoice Positions

Buy-side example

Field	Illustrative position
Contract / PO ceiling	\$2.00M
Authorized / committed	\$1.50M
Delivered value to date	\$1.28M
Current expected invoice	\$1.42M
Potential unnecessary / challengeable scope	\$70K
Qualified discount / credit opportunity	\$35K
Optimized expected payable	\$1.315M
Next actions	de-scope remaining optional work; negotiate credit; validate milestone evidence

Sell-side example

Field	Illustrative position
Contracted value	\$2.00M
Currently authorized	\$1.50M
Delivered / earned	\$1.35M
Additional usage / requested work detected	\$120K
Qualified change order	\$80K
Current expected invoice	\$1.55M
Readiness issue	milestone acceptance pending for \$42K
Next actions	secure acceptance; issue change order; prepare supported invoice preview

Preview logic

The Expected Invoice is not a guess. It is a compiled forward commercial position with evidence, uncertainty and known management items. Its value is that the enterprise can act before the invoice becomes fixed.

APPENDIX

C Illustrative Terms & Amendment Positions

Buy-side: services contract / PO renewal

Field	Illustrative position
Current future spend	\$4.0M over next 12 months
Risk profile	T&M services; 5% rate escalation; uncapped expenses; weak milestone acceptance
Renewal / amendment window	45 days before automatic extension
Proposed changes	NTE ceiling; resource-mix pricing; 3% escalation cap; expense cap; milestone acceptance; explicit change-order gate
Expected future invoice effect	\$300K reduction vs qualified baseline
Ledger state	\$300K prospective Amendment Alpha; realized only as future invoices / avoided spend verify the change

Sell-side: customer usage / PO expansion

Field	Illustrative position
Current commitment	\$2.0M annual customer agreement
Observed change	usage +18%; additional locations; customer PO nearly exhausted
Commercial risk	valid work could continue without sufficient PO authority or clear expansion pricing
Proposed changes	PO increase; usage true-up; annual uplift; clearer out-of-scope / change-order mechanics; milestone acceptance
Expected future invoice effect	\$180K additional legitimate annualized billing
Ledger state	\$180K prospective Amendment / Terms Alpha; contribution margin and realized invoice collection tracked separately

Realization discipline

A term or amendment can create a quantified expected advantage at negotiation. The Alpha Ledger should then trace that advantage into actual invoices, credits, usage true-ups, avoided spend and cash so that expected and realized value remain distinct.

SOURCES

D Research references and notes

- [1] The Hackett Group, "2025 Working Capital Survey: Payables Rebound, but Receivables and Inventory Lag," August 18, 2025. The study reports \$1.7T of excess working capital across the 1,000 largest U.S. nonfinancial public companies, \$600B attributable to receivables, and an 18-day DSO gap between top and median performers. [Source](#)
- [2] The Hackett Group, "Establishes AI World Class Finance Benchmarks," July 15, 2026. Its modeled order-to-cash future state reports 52%-59% lower process cost, approximately half as many invoice corrections, 43% faster dispute resolution and 85% fewer delinquent days. [Source](#)
- [3] APQC, "Cycle time in days from receipt of invoice until payment is transmitted," measure 100575. The public benchmark page reports a 15-day median across 2,226 companies. [Source](#)
- [4] APQC, "Customer Credit and Invoicing Key Benchmarks: Consumer Products/Packaged Goods Industry," March 5, 2026. The report includes customer invoicing cost, billing-data cycle time and DSO benchmarks, illustrating the prevailing process/efficiency measurement frame. [Source](#)
- [5] PwC, "2025 Working Capital Study" (Middle East). The study documents continued focus on DSO, DPO and operational working-capital improvement and notes the use of process automation and AI to support collections predictability and decision-making. [Source](#)

Method note

The external references provide context for working-capital scale, process benchmarking and the direction of AI-enabled finance transformation. Terms Alpha, Amendment Alpha, the Future Invoice Position, Expected Invoice, Invoice Preview, Formation Alpha, Settlement Alpha, Structural Alpha and associated Kozmo management architecture are framework constructs developed for this white paper.

Disclaimer

This document is a conceptual and illustrative white paper, not accounting, tax, legal, investment or treasury advice. Scenario values are not guarantees of savings, revenue or cash release. Organizations should establish their own baselines, counterfactuals, attribution rules, capital charges, contractual interpretations, contribution-margin assumptions and approval controls before using any economic measure for management or compensation purposes.